

Group 2: Imagine that you are a loan officer at a bank reviewing the mortgage application of a recent college graduate with a stable, well-paying job and a solid credit history. The applicant seems qualified, but during the routine credit check you discover that for the last three months the applicant has not paid a debt to his charge card account. The existence of two conflicting reports makes it unclear whether the outstanding debt is for \$5,000 or \$25,000, and you cannot contact the credit agency until tomorrow to find out which is the correct amount.

- **Do you approve or reject the mortgage application or wait?**

Only 2 percent of the respondents approve the application, while 23 percent reject the application, and a majority (75 percent) chooses to wait for the additional information. For the majority who wait a day to get the additional information, the authors present them with the following tidbit:

The next day, they find out the amount is \$5,000.

- **Do you approve or reject the mortgage application?**

For the majority who held out, 72 percent approve the application and 28 percent reject the application. In sum, for group 2, 56 percent approve the application and 44 percent reject the application. The approve rates are substantially higher than for group 1.

What is going on in this experiment? The authors have effectively given group 1 and group 2 the *exact same information set*, but because it is meted out over time, the second group perceives they have more information, which changes their decision-making process. Humans are cognitively inclined to overvalue information that requires effort or time to obtain.

To underscore the point that more information doesn't necessarily translate into better decisions, Professor Claire Tsai and colleagues directly test the relationship between information and forecast accuracy.¹⁰ The *rational* hypothesis suggests that each information piece received will be appropriately weighted and integrated into a forecast (the *econ* hypothesis). Confidence in the forecast will be updated via appropriate statistical means (i.e., Bayesian updating). The *irrational* hypothesis is that humans will interpret more information as better information, without considering